Parekh observed, ‘The transaction costs of these loans require specialized operational systems that blend the personal touch with an operational efficiency so vital to continued growth. This delicate balance is currently being shaped through a learning-by-doing process which incorporates flexibility while maintaining standardization through innovative systems design.’[29] A crucial input is technical expertise and new institutions require specialists trained and committed to their fields of activity.

In January 1983, HDFC had crossed the five year mark and the Aga Khan visited Bombay once again. He was pleased with HDFC’s progress and at a dinner hosted by HDFC in his honour, on January 17, spoke of his involvement: ‘To an extent it is true that my connection with HDFC came by chance. This was an opportunity to participate in a constructive new venture with valid development objectives and to do so in company with highly respected co-sponsors…’ He concluded by saying, ‘By any yardstick the Corporation’s first five years of operations have been impressive. Starting with an untried area it now has a nationwide network… The concept which Parekh brought to me in January 1978 has proved itself triumphantly.’[30]

In March 1984, HDFC announced its first bonds issue. It was for ₹10 crores and was made with the objective of augmenting the long-term resources of the company. The face value of each bond was ₹5,000 and the public issue was oversubscribed on the first day itself (March 19). The bonds issue marked the first attempt made by HDFC to tap the capital market directly. In the year 1984–85, HDFC launched the Home Savings Plan in which people were encouraged to save over a period of time in a contractual plan which involved a savings of a specified amount at 6 percent per annum. At the end of the savings period, the individual became eligible for a housing loan of a specified amount at a predetermined interest rate which was then fixed at 8.5 percent per annum. As the savings period was considerably shorter than the loan period and the quantum of savings less than the quantum of the loan, the saver was likely to benefit from this arrangement. His reward for saving regularly was a special low priced loan. The Home Savings Plan was modelled on the German ‘Bausparkassen’ system and it was Satwalekar along with two others who went to Germany to understand the system before starting it in HDFC.